

INDUSTRY BROCHURE

INSURANCE

Insurance Sector

Life Insurance	Nonlife Insurance
Life Insurance	Motor Insurance
Term Plan Insurance	Health Insurance
Endowment Plan	Home Insurance
ULIP life Insurance	Marine Insurance
Retirement Insurance	Commercial Insurance

Developments in Health Insurance due to COVID-19

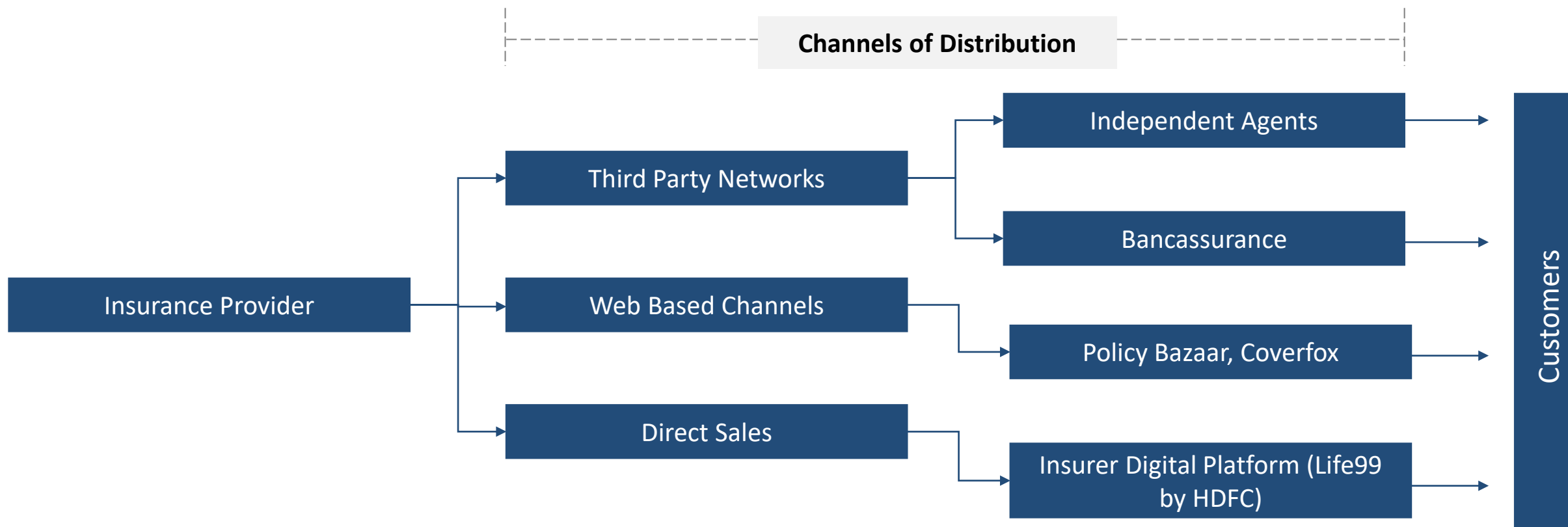
- Introduction of standard health product, **Arogya Sanjeevani** helped in making the buying process simpler.
- **Inclusion of treatment for COVID-19** under health insurance policies.
- IRDAI directed all insurers to issue health insurance policies to customers through telemedical wherever possible.
- Introduction of COVID-19 specific health insurance policies named **Corona Kavach and Corona Rakshakto** provide financial protection to people falling under the lower income-group.
- **Allowance to cover treatment through telemedicine** under a health insurance policy.
- **Introduction of EMI** option to pay their health insurance premiums.

Market Description

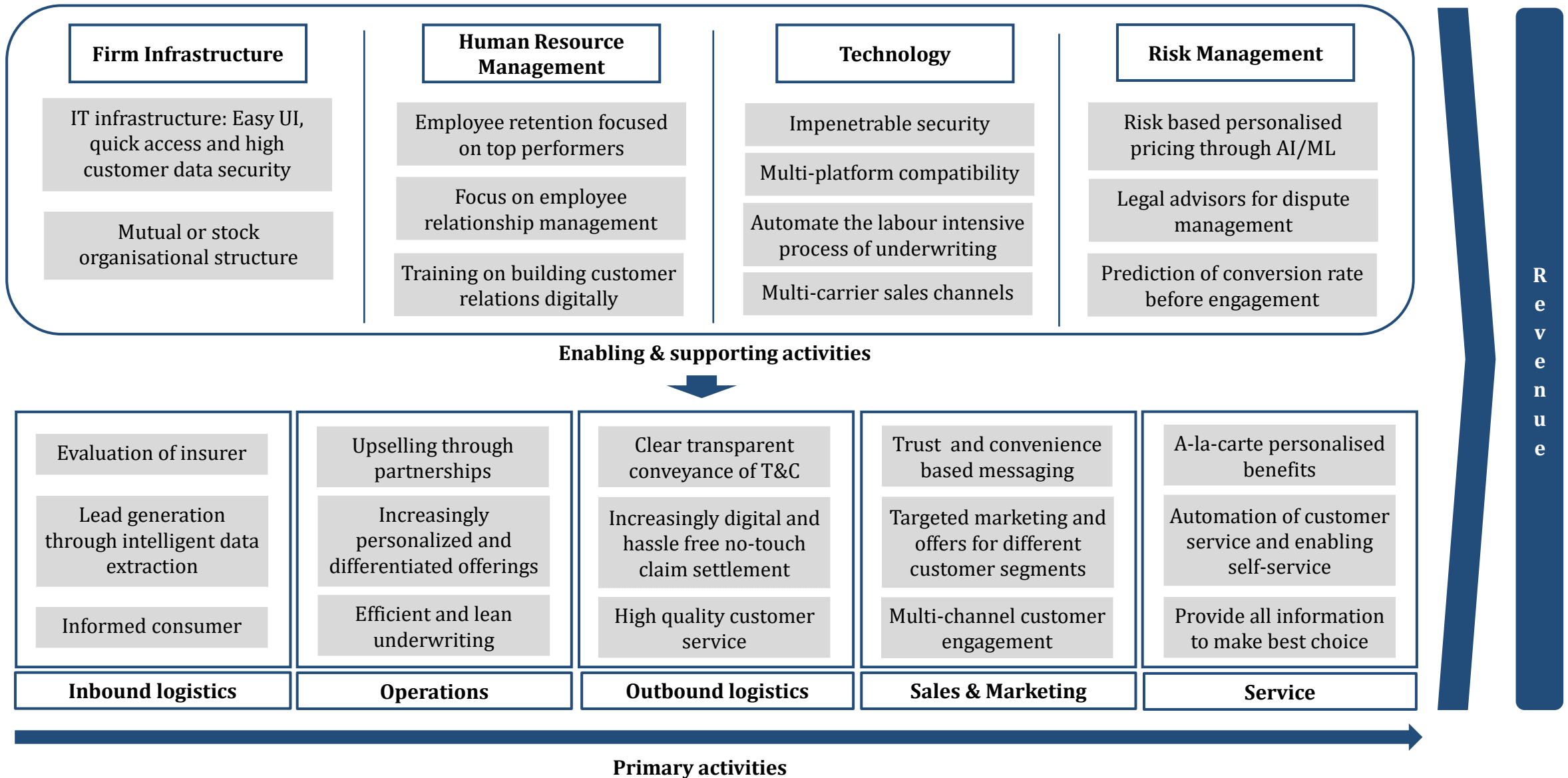
- The insurance industry in India can be broadly divided into two categories - life insurance and general insurance.
- Life insurance relates to risk cover for life/disability/accidents of an individual while general insurance or non-life insurance covers risk to other insurable assets such as property, vehicles and health.
- Insurance penetration is still low in India with overall insurance penetration pegged at 3.76% in FY20, with life insurance penetration at 2.82% and non-life insurance penetration at 0.94%.
- With the launch of Saral Jeevan Bima, effective from January 01, 2021, the term life insurance business in India is expected expand the insurance penetration rate in a new and larger customer segments.
- The Indian insurance industry is regulated by the Insurance Regulatory and Development Authority of India (IRDAI) which has recently announced the issuance, through Digilocker, of digital insurance policies by insurance firms.

Regulations

Regulations	Purpose
Reinsurance Regulations, 2018	Implementation of the reinsurance regulation and introduction of new requirements for life and non-life activities.
Insurance Laws (Amendment) Act, 2015	Amendments pertain to FDI in local insurance companies and branches of foreign insurance companies in India
IRDA Act, 1999	Establishment of IRDAI to protect the interests of policyholders and regulate the market
Insurance Act, 1938	Comprehensive regulatory framework introducing new provisions aimed at legislating and supervising insurers' activities.
Life Insurance Companies Act, 1912	First law promulgated to regulate the operations of the life market



- Insurance Providers use multiple distribution channels to reach out to customers.
- The traditional distribution channel include the Third Party Networks of Independent Agents (provide products of multiple Insurers), who act as the point of sale (PoS) and point of contact (PoC) to the end customers. They also employ a set of Contractual agents who only offer the Insurance products of one Insurer.
- Bancassurance is a relationship between a bank and an insurance company that is aimed at offering insurance products to the bank's customers. In this partnership, bank staff and tellers become the PoS and PoC for the customer
- With rapid digitization and the onset of pandemic, Insurance providers have increasingly turned to Web based Insurance Aggregators such as Policy Bazaar and Coverfox, some Insureres have also setup their own online platforms such as Life99 by HDFC Ltd.



The pandemic has resulted in many changes in the customer perceptions and expectations. QCDF analysis of customers preferences in banking industry are given below hierarchically:



Convenience/Delivery (D)—The pandemic induced a shift to working remotely and virtual customer engagement. While some gaps in digital capacities remain, the trend is likely to sustain post Covid-19 with enhanced, seamlessly integrated ,multi-channel virtual operations. With various sectors typically covered under insurance being affected by global phenomenon, customer might seek service providers who offer coverage across health, automobiles, life, businesses etc.



Personalization/Flexibility(F)—Parametric services that offer flexibility in the terms to suit one's needs has been a growing demand amongst consumers. A pan-Asian survey by RDA, says that the top three requirements which will play a role in the decision making process are flexible covers based on life stages, flexible benefits and innovative features.



Value/Quality (Q) – Quick adaptation to accommodate covers for sudden outbreaks could create a competitive advantage for the early adopters. With the lines between insurance, banking and investments blurring, offering services that contribute towards the overall financial well-being of the customer could also help get an edge.

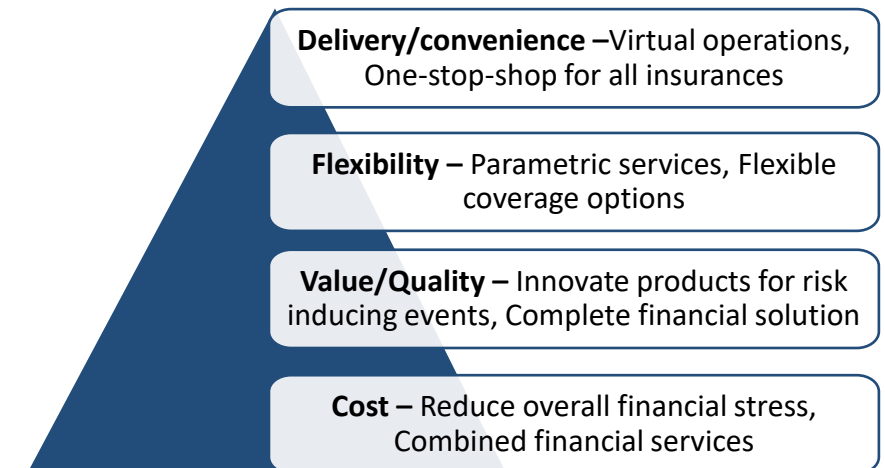


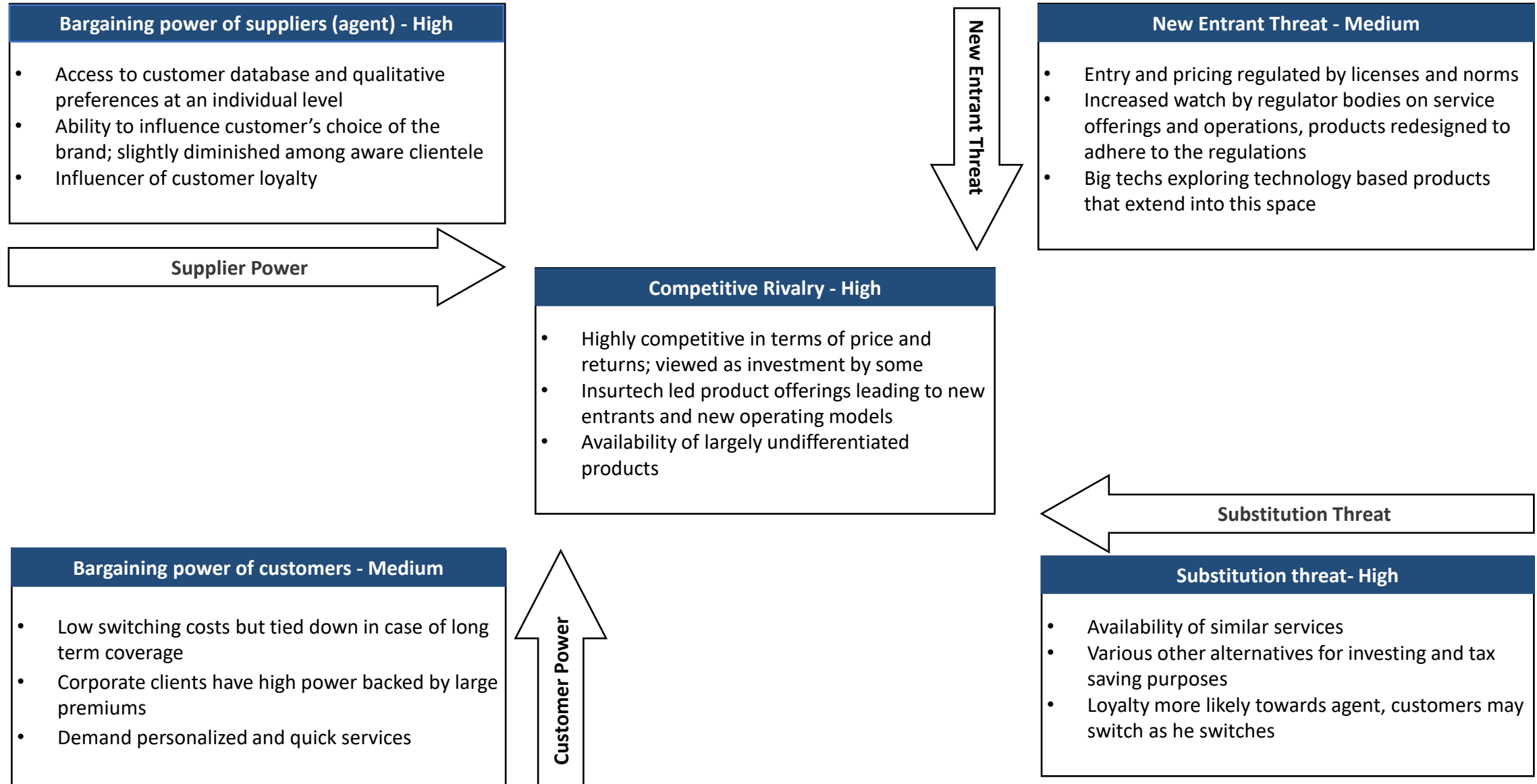
Cost (C) – Options of deferred monthly bills and monthly billing cycles could help allay the financial stress expressed by customers. More value at a reduced price, could be provided to customers opting insurance with other related financial services.

Customer perception on insurance during pandemic

34%	28%
have increased realization of the importance of health insurance since onset of the pandemic	have expressed flexible cover based on life stages as one of the major prompts of purchase
45%	15%
face financial stress mainly stemming from uncertainty of future income	say their propensity to opt for life covers have increased during pandemic

Based on pwc and RGA reports on digital banking





TRENDS

• EMERGENCE OF NEW DISTRIBUTION CHANNELS



New distribution channels like **bancassurance**, **online distribution** and NBFCs have widened the reach and reduced costs. In December 2020, WhatsApp announced its plan to roll out health insurance and micro-pension offerings in India.

• LAUNCH OF APPS



In Nov 2020, LIC launched its first software application, ANANDA, (Atmanirbhar Agents New Business Digital App) for the on boarding process with the aid of the agent/broker to enable life insurance policy through **paper less module**.

• GROWING MARKET SHARE OF PRIVATE PLAYERS



In the life insurance segment, private players held a market share of 33.78% in premium under written in FY20 and the market share of private sector in the general and health insurance market increased from 47.97% in FY19 to 48.03% in FY20.

OPPORTUNITIES

• MOTOR INSURANCE



Strong growth in the automotive industry will be a key driver of motor insurance. In 2020, the '**Switch On-Switch Off**' insurance was launched which allows people to pay the premium only when they require insurance coverage rather than getting one full year of insurance.

• HEALTH INSURANCE



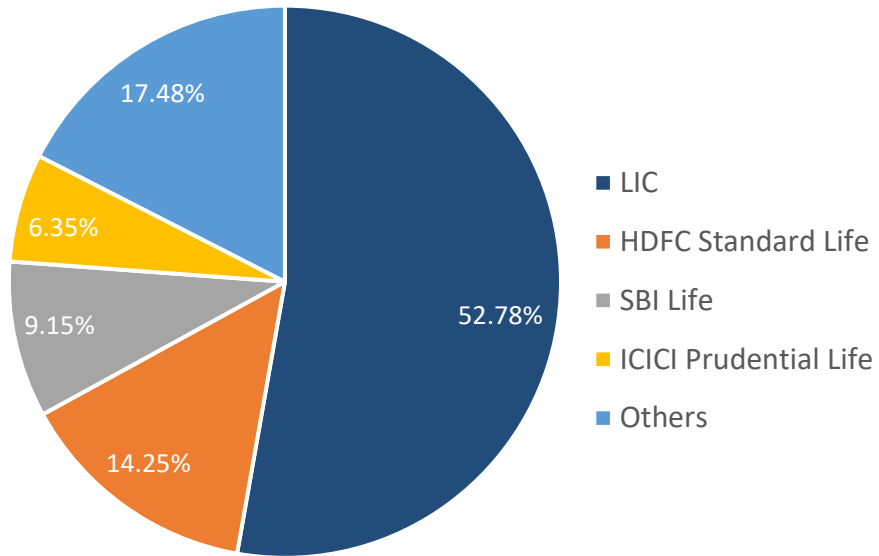
In February 2021, IRDAI approved general and health insurance firms to incorporate **four additional of individual products** – personal liability insurance, overseas travel insurance, domestic travel insurance and benefit-based health insurance plans.

• CROP INSURANCE



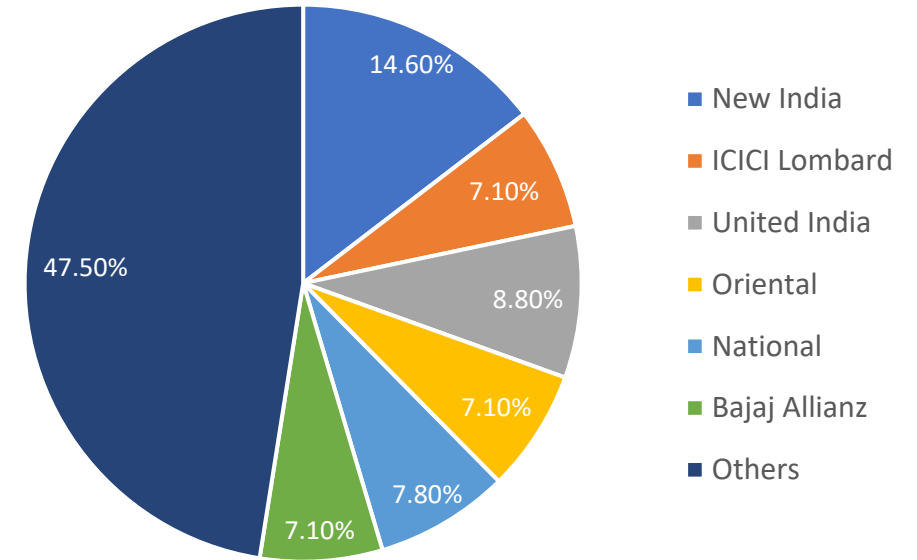
Awareness about crop insurance in India is 38.8%, and still, crop insurance market in India is the largest in the world. This presents a **huge underserved market**.

Premium Market Share in Life Insurance (FY20)



- As of FY20, life insurance sector had **24 private players** in comparison to only four in FY02.
- With nearly 53% of the new business market share in FY20, **Life Insurance Corporation of India**, the only public sector life insurer in the country, continued to be the **market leader**
- Among private sector lenders, HDFC Standard Life Insurance was leading in new business premium with a market share of over 14%

Market share of major companies in terms of Gross Direct Premium collected (FY20)



- There were 33 non-life insurers in India in FY20
- **Public sector insurers lead** the non life insurance market in India with **New India Assurance**, **United India Insurance** and National Insurance having market share of 14.6%, 8.8% and 7.8%, respectively, in FY20
- In the **private sector**, **ICICI Lombard** was the leader in FY20 with a market share of 7.1%, followed by Oriental at 7.1%